

MAAP

Licensees must proactively disclose to potential buyers any **material, adverse** information they **actually** possess about the **physical** condition of a property if the seller hasn't already disclosed it.

Let's break this down. Or as we like to say, let's MAAP it out:

Material

Information is considered material if it is important in **deciding what course of action the buyer takes** regarding the real estate transaction.

Adverse

Information is considered adverse if it is negative, usually regarded as any information that would reduce a property's value . Therefore, adverse material information would be considered **any information that would cause an ordinary person to choose not to go through with the real estate transaction** .

Actual

Even if the seller knows the basement leaks and doesn't disclose information about the leak, if you can plainly see the basement has leaked, you must disclose **what you know** . And as a buyer's agent, it's your job to protect the buyer's interests. That means, disclose what you know.

Physical

Licensees must disclose any adverse material fact about the **physical condition** of the property. This means if you know something is wrong with the foundation, or that a window doesn't open correctly, or a public easement crosses the property, then you must disclose it. Disclosure of non-physical aspects is not required in Michigan.

Remember the initials **MAAP** . A map shows you where you want to go, and our MAAP shows the licensee what to disclose.